REVENUE RECOGNITION IN PICTURES

Asha's Uniform Order

What is the transaction price?

A fixed discount and a possible bonus.
What amount enters the price?



STEP 3



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Ind AS 115 IFRS 15 ASC 606

The school places its order



100 school uniforms
₹1,000 for each uniform

100 uniforms

The starting amount comes from the order terms.

Ind AS 115 / IFRS 15, paragraphs 47–59

The starting amount



100 uniforms × ₹1,000

₹1,00,000

This is the amount before the agreed discount.

Ind AS 115 / IFRS 15, paragraphs 47–59

A fixed bulk-order discount



Asha agrees to reduce
the order amount by ₹10,000.

– ₹10,000

The agreed discount is already known.

Ind AS 115 / IFRS 15, paragraphs 47–59

The fixed consideration



₹1,00,000 – ₹10,000

₹90,000

The school owes ₹90,000 before any bonus.

Ind AS 115 / IFRS 15, paragraphs 47–59

A bonus for timely delivery



Deliver all uniforms by 30 June and earn an additional ₹10,000.

Possible + ₹10,000

The bonus depends on a future event.

Ind AS 115 / IFRS 15, paragraphs 47–59

The delivery outcome is uncertain



A fabric shipment may arrive late.
Asha cannot control the delay.

Reversal risk

An optimistic forecast alone does not justify including the bonus.

Ind AS 115 / IFRS 15, paragraphs 47–59

Estimate, then apply the constraint

STEP

3



ESTIMATE + CONSTRAIN

The estimate must also pass the constraint.

Bonus outcomes: ₹10,000 or ₹0.
Then assess possible reversal.

Include a variable amount only when a significant reversal is highly probable not to occur.

Here the constraint excludes the estimated bonus.

Ind AS 115 / IFRS 15, paragraphs 47–59

The initial transaction price



Fixed consideration: ₹90,000
Bonus included initially: ₹0

₹90,000

The transaction price can change as the evidence changes.

Ind AS 115 / IFRS 15, paragraphs 47–59

The uniforms arrive on time



All uniforms reach the school by the agreed deadline.

Bonus earned

The delivery condition has now been met.

Ind AS 115 / IFRS 15, paragraphs 47–59

The updated transaction price



₹90,000 fixed + ₹10,000 bonus

₹1,00,000

Price measurement and revenue timing remain separate decisions.

Ind AS 115 / IFRS 15, paragraphs 47–59

Asha’s story in one picture



Starting amount: ₹1,00,000
Fixed discount: ₹10,000
Initial price: ₹90,000
Updated price: ₹1,00,000

Estimate and reassess

A fixed reduction and an uncertain addition need different analysis.

Ind AS 115 / IFRS 15, paragraphs 47–59

Check yourself

Think first. Click to reveal each answer in Slide Show.

1 **What is the fixed consideration?**

₹90,000 after the ₹10,000 discount.

2 **Does an uncertain bonus enter the price automatically?**

No. Estimate it and apply the constraint.

3 **What is the price after the bonus is earned?**

₹1,00,000 under the stated contract terms.

Ind AS 115 / IFRS 15, paragraphs 47–59